DEE Development Engineers (DEEDEV)

Horizon: **Swing (1–4 wk)** · Bias tested: **Neutral** · As of **03 Jun 2026**

AVOID — AT HIGHS

CMP	52W H / L	MKT CAP	P/E (TTM) VS SECTOR	ROE / ROCE
₹654 (02 Jun)	₹656 / ₹183	₹4,531 Cr	57.4× / ~40× cap-goods*	9.3% / 10.9%

PROMOTER (Δ, PLEDGE)	FII / DII	BETA	ADV	GROSS DEBT
70.18% · no pledge disc.	0.99% / 13.91%	High (smallcap)*	N/A	₹705 Cr (net N/A)

PRIMARY CATALYST — THE REASON IT MOVES NOW

Back-to-back large order wins — ₹386.9 Cr from BPCL (30 May) and ₹206.6 Cr from a power-sector Maharatna (2 Jun) — lift the book to a record ₹1,940 Cr and anchor FY27 inflow guidance of >₹2,000 Cr, setting up an operating-leverage inflection as the new Anjar seamless-pipe / fab capacity ramps.

CATEGORY	QUANTIFIED IMPACT	PROBABILITY	WINDOW
Order Win · Execution ramp	Book ≈1.7× FY26 sales; Sharekhan models 26% rev / 55% PAT CAGR FY26–28	HIGH (orders signed; margin recovery = M)	FY27 — Q1 print (~Aug 2026) first proof point

Priced in? Largely. Stock +127% in 2 months / +215% in 4 months; CMP ₹654 already **above** Sharekhan's ₹650 target, P/E 57× TTM. Backlog visibility is in the price — what is **NOT**: margin recovery from Q4's −460 bps op-margin hit, and any FY27 inflow beat above ₹2,000 Cr. · Source: BSE filings 30 May & 2 Jun 2026; Q4 FY26 concall; Sharekhan 27 May 2026.

BULL	BASE	BEAR
₹720–760	₹560–620	₹460–490
FY27 inflows beat ₹2,000 Cr + op-margin recovers toward 18%; re-rating extends (+10–16%).	Consolidation / mean-reversion after vertical run; backlog already discounted (−5 to −14%).	Smallcap risk-off + margin disappointment → revert toward 50-DMA / fair value (−25 to −30%).

> *Genuine multi-year energy-capex beneficiary (niche HRSG piping, India's first seamless-pipe plant, record ₹1,940 Cr book) — but after a near-vertical +127%/2-month run to a fresh 52-week high above the sell-side target, the swing edge is gone; risk-reward favours buying a pullback over chasing the high.*

CATALYST LADDER — SECONDARY TRIGGERS, RANKED BY IMPACT × PROBABILITY

TYPE	EVENT	QUANTIFIED IMPACT	PROB	TIMELINE	SOURCE / DATE
Order inflow	FY27 guidance >₹2,000 Cr (60% power, 35–40% export)	Sustains ~26% revenue CAGR; book refill	H	FY27	Q4 FY26 concall, Apr 2026
Financial inflection	Anjar seamless-pipe (30k MTPA) + fab ramp to 60–70% util	Operating leverage; margin recovery from 16.7%	M	FY27	Q4 FY26 concall
Product / capex	Biomass-pellet facility operational	~₹80 Cr FY27 (power+biomass); offsets cash burn	M	FY27	FY26 results, Apr 2026
Demand-side	India thermal / nuclear / refinery / fertiliser capex; HRSG limited-vendor niche	Pricing power; structural multi-year tailwind	H	Multi-year	Sharekhan / Moneylife, May 2026
Ownership	Promoter 70.18%, no pledge disclosed; FII only 0.99%	Low institutional float = room to add if sponsored	L	Ongoing	Mar-26 shareholding

TYPE	EVENT	QUANTIFIED IMPACT	PROB	TIMELINE	SOURCE / DATE
Capital action	No buyback / bonus; 0% dividend	None — cash retained for capex/WC	L	—	FY26 results
Technical	At 52W high ₹656 after +127%/2mo, +215%/4mo — extended/overbought	qualitative — vulnerable to mean-reversion	M	Now	Price action, 02 Jun 2026

WHAT THE STREET IS PRICING IN

Thin coverage — **Sharekhan (27 May 2026): Positive, TP ₹650** on 27× FY27E / 19× FY28E EPS, modelling 26% / 55% revenue / PAT CAGR FY26–28. CMP ₹654 is **already at/above that target**, so upside to visible consensus is largely exhausted. IN the price: record ₹1,940 Cr book, capacity ramp, energy-capex theme. NOT in the price: margin recovery from Q4's −460 bps op-margin hit, an FY27 inflow beat, or a new marquee export order. Low FII (0.99%) = limited institutional sponsorship; a single broker is the visible anchor.

KEY LEVELS & TRADE FRAME

Entry zone (on pullback)	₹540–580*
Stop (below consol. / ~50-DMA*)	₹495*
Target 1 / Target 2	₹720 / ₹780*
R:R · suggested size	~1.8:1 on dip · 1.0–1.5%

*Approx — no live DMA feed; verify on chart. Chasing ₹654 at the 52W high is poor R:R (stop too far).

RISKS TO WATCH

RISK	TRIGGER	DOWNSIDE	PROB
Valuation de-rating	Any growth/margin wobble at 57× TTM P/E, above target	−25 to −35%	H
Margin compression	Q4 op-margin 17.6% vs 22.2% YoY (−460 bps); RM / competition	−15 to −20%	M
Cash-flow quality	FY25 OCF −₹60 Cr (vs +₹102 Cr FY24); WC ~200 days	−15%	M
Leverage / interest	Gross debt ₹705 Cr; interest +34% YoY; cover 1.92×	−10 to −15%	M
Smallcap liquidity	Risk-off after vertical run; thin float	−20 to −30%	M
Sector concentration	Oil & gas / power capex slowdown	−15%	L

CATALYST CALENDAR

DATE	EVENT
~Aug 2026	Q1 FY27 results — first margin / inflow proof point
~Aug-Sep 2026	FY26 AGM (date N/A)
FY27	Anjar seamless plant ramp to 60–70% util; biomass contribution
From 02 Jun '26	Power Maharatna order delivery (units 6–15 mo)
18 Feb 2028	BPCL ₹386.86 Cr piping order delivery deadline

AVOID — AT HIGHS

Structurally sound energy-capex story, but price has outrun fundamentals — above the sell-side target, 57× TTM P/E, margins compressing and cash flow negative. Don't chase the 52W high; wait for ₹540–580. **Flips the call:** a reset into the entry zone, OR FY27 inflows printing well above ₹2,000 Cr with op-margin recovering toward 18% → TACTICAL LONG.

Sources: Screener.in (02 Jun 2026); BSE order filings 30 May & 2 Jun 2026; Q4/FY26 results & concall (Apr 2026, via Yahoo Finance / MarketsMojo / SolarQuarter / Machine Maker); Sharekhan note via Business Today (27 May 2026); Business Standard / Upstox (02 Jun 2026). Cross-checked: price ₹654 × ~6.93 Cr sh ≈ ₹4,531 Cr mkt cap (internally consistent).